

**Time:** 5 minutes**Outcome:** Calculate surplus, deficit, and public saving with correct signs.**Difficulty:** ●●○ Foundational

Budget Accounting and Public Saving

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THE CORE IDEA

In the course saving model, T is net tax revenue and G is government purchases. Public saving is $T - G$. A positive value is a budget surplus; a negative value is a budget deficit. The deficit is $G - T$, the opposite sign. When fiscal data use total outlays instead, use the categories stated in that dataset rather than silently mixing definitions.

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HOW TO RECOGNIZE IT

- Revenue above spending: surplus and positive public saving.
- Spending above revenue: deficit and negative public saving.
- Equal revenue and spending: balanced budget and zero public saving.
- A deficit is a flow measured over a period; debt is an accumulated stock.

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WATCH OUT

Keep signs straight: a \$40 deficit means public saving is -\$40, not +\$40. State whether G means government purchases or the source's broader outlays measure.

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WORKED EXAMPLE: ONE BUDGET, TWO SIGN CONVENTIONS

KEY RELATIONSHIPS

- Public saving = $T - G$
- Surplus = $T - G > 0$
- Deficit = $G - T > 0$
- Balanced budget: $T = G$
- Deficit is a flow; debt is a stock

Net tax revenue is \$520 billion and government purchases are \$560 billion. Public saving is $T - G = -\$40$ billion. The budget deficit is $G - T = +\$40$ billion. Both statements describe the same imbalance using opposite signs.

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CHECK YOURSELF

If $T = \$680$ billion and $G = \$650$ billion, what are public saving and the budget balance?

**READY?****Return to the game and master this concept.**